

MODULE 03

Cohost Contracts: The Three Fee Models

The contract is the most expensive document you will draft as a new cohost. Get the structure wrong and you either lose money on every booking, or you spend the rest of the year renegotiating. This module gives you the three fee model templates and the eight clauses that belong in every cohost contract.

Model 1: Percentage of booking revenue

Range: 20-30% of booking subtotal. The default for established cohosts in most US markets. Twenty percent is the floor; twenty-five is the standard; thirty is premium positioning.

When to use:

- Your market is competitive and 25% is the going rate
- You have a track record with verifiable revenue lift
- The owner is risk-averse and wants their cost to scale with revenue

When NOT to use:

- The property has very low ADR (under \$80/night) — your per-booking take is too small to be worth the time
- The owner expects predictable monthly expenses
- You are testing the relationship and don't want to be locked in yet

Model 2: Flat-fee per booking or per month

Range: \$50-150 per booking, or \$400-800 per month per property. Flat fee is uncommon but useful in specific situations.

When to use:

- The owner is downsizing or selling soon
- You are a single-property operator who values predictability
- The market is high-ADR and the percentage model feels too expensive for the owner

The risk: On a flat-fee model, you take on utilization risk. If the property books 5 nights in a month instead of 20, you still do all the work (or close to it) but earn a fraction. Negotiate a minimum monthly guarantee.

Model 3: Hybrid (lower % + base fee)

Range: 15% of revenue + \$150-300 per month. The structure most working cohosts settle into after 12-18 months on the job. The base fee gives you predictability; the percentage keeps your incentive aligned.

When to use:

- You have proven yourself and want to convert a percentage client to hybrid on renewal
- The property has high ADR and percentage alone makes the owner feel they're overpaying in slow months
- You are working with a furnished-rental or mid-term market where booking frequency is lower but average stay is longer

The eight clauses every cohost contract needs

Whether you use percentage, flat, or hybrid, these eight clauses are non-negotiable. Module 03 includes a contract template you can copy and adapt — see the next page.

- 1. Scope of services.** Listing management, guest communications, pricing, cleaning coordination, maintenance triage, monthly statements. Be specific. If you don't list it, you don't do it.
- 2. Term and termination.** Minimum 6 months, 30-day notice after the minimum. Mutual termination for cause. Define "cause" (fraud, negligence, illegal activity).
- 3. Compensation.** Percentage, flat, or hybrid. Payment terms (most cohosts do NET-15 from statement). Late-payment fee (1.5%/month).
- 4. Owner obligations.** Property condition, photo accuracy, furnishing minimums, parking, access, city registration, license compliance, taxes. Push these to the owner — they are not your problem.
- 5. Expense pass-through.** Which expenses you cover in your fee (software, your time) vs. what the owner covers separately (cleanings, supplies, maintenance, utilities, internet). Define with line items.
- 6. Cleaning standards.** Reference your cleaning checklist as an exhibit. Define "turnover clean" vs. "deep clean" vs. "maintenance clean". Specify who pays for which, and who verifies before the next guest.
- 7. Liability and insurance.** Require the owner to carry STR-specific landlord insurance. Carry your own general liability and/or errors-and-omissions. Define damage procedure, security deposit handling, and guest claim workflow.
- 8. Confidentiality and non-circumvention.** You don't poach the owner's guests or list the property under your own account. The owner doesn't poach your cleaner network. Mutual non-disparagement during and 24 months after the engagement.

The three clauses you negotiate hard

Most owners read a draft contract and start negotiating. Three clauses you should not give ground on, regardless of pressure:

Term length (clause 2). If you take a 1-month minimum, you are incentivized to under-invest in the property because you might not see the upside. Six months aligns your work with the revenue you earn.

Owner obligations (clause 4). If the city shows up and the property is unlicensed, the owner is on the hook — not you. Make this explicit.

Insurance (clause 7). If a guest is hurt and the owner is uninsured, you are exposed even if you did nothing wrong. Never start work without proof of owner-side STR insurance.

Module 03 — Done. Module 04 covers pricing specifics — how to set the percentage, when to ask for more, and how to present a pricing proposal that owners accept.